

clear

SEBI Just Changed
the Game for Top Listed Players

Why Your Compliance Infrastructure is Now a Board-Level Risk

New Mandate

**Digital
Assurance**



SEBI's Draft Circular on the Digital Assurance mandate for the top 100 listed entities redefines the financial reporting infrastructure for India's largest listed entities. What were once internal accounting differences must now be publicly explained by management.

It's not about filing another report, but about proving that internal records align with external reality across six government repositories- GST, Income Tax, TRACES, EPFO, EDPMS, and IDPMS.

For enterprises still operating compliance in silos, the implications are severe and immediate. Those treating it as a systems architecture problem, shifting from siloed, reactive compliance to unified, AI-driven platforms, will convert regulatory pressure into competitive advantage.

The Siloed Compliance Problem

Most large Indian enterprises manage compliance across independent functions:



Finance teams record revenue based on invoicing systems



Tax teams file GST returns independently of revenue recognition



HR maintains payroll separate from employee cost accounting



Treasury manages forex independently of import/export booking



Logistics generates e-Way Bills without sales order synchronisation

These silos persist because ERP-centric architectures don't natively integrate with statutory portals. Reconciliation, if done at all, happens retrospectively during quarterly closes or year-end audits. Under the Digital Assurance framework, this model fails catastrophically.



Consequences of Non-Compliance

The regulatory penalties of ₹5,000 per day are material but manageable.

The real risks are strategic:

- **Trading suspension:** SEBI retains the authority to suspend trading for repeated non-compliance. This is not theoretical; it is codified enforcement.
- **Audit qualifications:** Auditors are now mandated to flag unreconciled variances. A qualified opinion on the Digital Assurance Report damages credit ratings and complicates capital access.
- **Market confidence erosion:** Investors read governance flags through stock price movements. Even well-explained variances create perception risk when institutionals reassess exposures.
- **Operational firefighting:** Manual reconciliation at scale consumes audit bandwidth, delays closings, and diverts leadership attention from strategic priorities to compliance crisis management.
- **Strategic function realignment:** Reconciliation engines, system-led validations, and continuous books-to-taxes matching become strategic imperatives for the CFO and audit committee, not operational tasks for the tax function.



Enterprises must elevate compliance data infrastructure from back-office tooling to board-level governance priority. **Enterprises treating this as a tax problem will discover the gap only when auditors flag it as a financial reporting failure.**

The Core Vulnerability: Data Becomes Evidence

The mandate's leverage lies in its design: it doesn't demand perfection but requires explainability. Every material variance must be documented, justified, and signed by management. Consider the common disconnects siloed systems create:

- **TDS deducted per TRACES:** ₹10 Cr. Books show ₹9.5 Cr (post-filing payment reclassifications)
- **Revenue in books:** ₹100 Cr. GST portal shows ₹105 Cr due to branch-level B2B invoice uploads not captured in ERP.

When these surface in public filings without pre-reconciliation, markets interpret them as control weaknesses. Weak explanations compound the damage.



The Strategic Response: From Compliance to Infrastructure

Manual process retrofits won't scale.

The solution requires three architectural shifts: Real-time ERP integration, AI-powered variance detection, and a unified compliance data layer.

clear compliance cloud provides this infrastructure.



GL Reconciliations (GST Portal)

AI-driven reconciliation across GSTR-1 vs 3B, 2B vs Books, e-Way Bills vs Sales Register, IMS vs Purchase Register. Achieves 99% match rates, flags 100+ errors instantly, and reduces manual work by 80–90%. Converts days of Excel-based reconciliation into minutes of automated validation.



TDS Workbench (TRACES Portal)

Our technology, GL-Stream-powered extraction, automatically manages negative entries, corrections, and trial balance matching. Maps the original and corrected returns back to GL entries. Reduces data preparation from 2 days to a few hours, ensuring 100% extraction accuracy.



AIS/26AS Reconciliation (Income Tax Portal)

Advanced many-to-many matching using best-fit logic, PAN↔TAN mapping, and cross-FY reconciliation. Enables quarterly reconciliation instead of year-end scrambles. Delivers 80–90%+ match rates, unlocks ₹10–15L in missed credit recovery, and ₹10–20L in advance tax optimisation.



Books-to-Portal Mapping (All Sources)

Comprehensive expense data preparation, including edge cases: TDS not deducted, partial invoices, advance payments, provisions. GRN↔IRN linking provides full transaction lineage. Reduces audit preparation from days to a few hours with complete visibility across books and statutory data.

Clear Compliance Cloud is your financial reporting infrastructure that turns the Digital Assurance mandate from a compliance burden into a continuous validation capability.

Get your enterprise compliance ready before the new mandate kicks in.

[Get started](#)